Caterpillar (CAT) | 3Q26

Earnings Update | 29 October 2026 | Post-call version | Josh, with Trevor (Q&A)

1 Executive snapshot

Consensus thesis. Investors own Caterpillar as the diversified way into AI data center power: gas gensets and Solar turbines sold years out, capacity rising toward nearly 3x 2024 for large engines, and revenue of about $79.6bn in FY26 and $88.7bn in FY27, with credit not in debate.

Thesis status: Intact. Versus expectations. Quarter in line: revenue $20.68bn vs $20.69bn consensus; adjusted EPS $7.20 vs $7.03 (Yahoo), but about $0.21 came from $128mn of IEEPA tariff refunds, so about $6.99 underlying. Outlook in line: FY26 guide maintained, not raised; the 'moderate' 4Q growth guide sits below 4Q consensus of $21.42bn.

Biggest changes

- Backlog reached a record $78bn (call), up $5.9bn on the quarter and about $38bn (96%) on the year, with growth in all three segments. Book-to-bill was about 1.3x (derived), down from about 1.5x in 2Q.
- Lead times moved out again: large gas prime engine orders now run to 2029 and turbines into 2030, against 'late 2028' in August. 58% of backlog ships within 12 months (59% in 2Q).
- Margin is flat underneath: adjusted operating margin excluding tariff refunds was about 20.0%, the same as 2Q. Power & Energy margin was 24.4% (24.6% in 2Q); price of $216mn was mostly offset by capacity costs.
- Guide held, 2027 deferred to January. 4Q sales are guided to 'moderate' growth; the FY range implies $19.1bn to $21.8bn. Shares fell 7.6% to $658.90 by 10:17 ET.
- Customers are paying earlier: customer advances added $1.4bn of cash in the quarter, while inventories rose $1.6bn to $22.2bn.

Investor takeaway. The consensus view holds but should stop paying for upside to 2026: demand and backlog keep growing, yet Caterpillar is capacity-bound and margin is flat once tariff refunds are removed, so the case now rests on 2027 capacity and pricing that management will frame only in January; credit quality holds.

What to monitor next quarter

1. January call: FY27 guide, capacity added in dollars or MW, and whether margin moves off the bottom of the band.
2. 4Q backlog and book-to-bill against about 1.3x, and any update on prime power GW (not given this quarter).
3. First 10 MW engine shipments in 4Q26, and Cat Financial's allowance ($332mn, up $38mn) against any data center developer exposure.

2 Key changes this quarter

Pillar scorecard

Pillar	Market assumed	Quarter showed	Verdict	Source
P1 Data center demand durable	Backlog above $72.1bn; no deferrals	Backlog $78bn; 'not seeing significant changes' in customer timing; no data center share disclosed	Confirmed	Call
P2 Power Generation compounding	Growth near 2Q's 29%	Power Generation +30% to $3,421mn; sales to users +75%	Confirmed	Release; Ex 99.2
P3 Capacity ramp on time	10 MW restart ships 4Q26	Restart on track for 4Q; plans 'on schedule'; but 'no slack', a brief test outage in 3Q	Confirmed	Call
P4 Margin and operating leverage	Adjusted margin above 17.5%; EPS about $7.03	20.6% reported; about 20.0% ex refunds, flat QoQ; EPS beat came from refunds; FY margin near bottom of band	Challenged	Release; call
P5 Cash return	MP&E FCF top half of $6-15bn	9M MP&E FCF $9.5bn; guide held; Q3 buybacks slowed to $1.2bn	Confirmed	Release; call

→ Four of five pillars confirmed; the margin pillar is challenged because the beat came from tariff refunds and margin was flat once they are removed.

- **Emphasized more.** Capacity as the pacing factor ('no slack in the system'); frame agreements and pipeline beyond the backlog; backlog will be 'lumpy'; repurposing plants (Winston-Salem for 3600-series engines); the Major Projects rental JV.
- **Less or dropped.** No updated prime power GW (asked; not given). The 2030 Power Generation 'more than 3x 2024' target was not repeated. The backlog dollar figure was given on the call, not in the release.
- **KPIs more important.** Book-to-bill, backlog conversion (58% within 12 months), customer advances, capacity added per quarter.
- **Risks up.** 4Q and 2027 estimate risk; freight and energy cost inflation; production ramp (brief test outage, large mining trucks); Cat Financial allowance up 13% QoQ.
- **Risks down.** Customer deferrals (none reported); tariff cost ($600mn in 4Q, about $200mn lower YoY); restructuring cut to about $300mn.

Analyst focus matrix (Trevor): topics asked, by quarter

Topic	3Q25	4Q25	1Q26	2Q26	3Q26	Trend
Capacity and delivery timing	Y	Y	Y	Y	Y (3)	Persistent
Backlog, orders, book-to-bill	Y	Y	-	Y	Y (3)	Rising
Pricing and escalators	Y	Y	Y	-	Y	Persistent
Margin framework	Y	-	Y	Y	Y	Persistent
Prime vs backup mix	-	Y	Y	-	Y	Persistent
Customer concentration and credit	-	-	-	-	Y	New
2027 growth and 4Q sequential	-	-	-	-	Y (2)	New
Capex and funding, Cat Financial	-	-	-	-	-	Absent

3Q26 questions and answer quality (Trevor)

Analyst (firm)	3Q26 question	Answer	Rating
Wertheimer (Melius)	Prime power GW update; is 2028 sold out?	Quoting active; big gas prime orders to 2029; some diesel 2028 slots open; no GW	Partial
Zakaria (JPMorgan)	When does the backlog step down?	Orders into 2029-30; 58% within 12 months; would like machine backlog to come in	Partial
Cook (Truist)	When back to mid-range margin; 2027 capacity in $	'Next couple of years'; 2027 in January; no capacity figure	Partial
Raso (Evercore)	Why is 4Q barely up sequentially?	Capacity-paced, 'no slack', CI destock; 2027 in January	Partial
Feniger (BofA)	2027 above the 6-9% CAGR?	Capacity rises each quarter, 'not a cliff'; 2027 in January	Deflected
Revich (Wells Fargo)	Slot timing shifts; hyperscaler share given credit angst	No significant changes; will not quantify hyperscalers vs others	Partial
Dobre (Baird)	Book-to-bill 1.7 to 1.3: slippage?	Production rising; lumpy prime orders; do not use one metric	Deflected
Menges (Citi)	Turbine vs gas vs diesel mix to 2030	No change in discussions; capacity fungible	Partial
Volkmann (Jefferies)	10 MW restart	First units 4Q26; 'on track'	Direct

Pre-empted in prepared remarks: 4Q dealer destock ($1.6bn), capacity as the pacing factor, tariff and freight costs. Not asked: Cat Financial vendor financing, buybacks, deposits and cancellation terms.

Trevor's watch-list

Analyst	Quarter	Question (trimmed)	Answer	Rating	Later evidence
Jerry Revich, Wells Fargo (chosen: presses most on counterparty credit)	1Q26	Prime power architecture; GW booked	Site-specific; no GW figure	Deflected	3Q26: still no GW
	3Q26	Slot shifts; hyperscaler share	No significant changes; no split	Partial	Watch 4Q backlog
Mig Dobre, Baird (bear on data center durability)	4Q25	Order and backlog strength	Backlog $51bn, broad-based	Direct	Backlog $78bn
	3Q26	Book-to-bill slowing	Lumpy; one metric misleads	Deflected	Derived 1.30x confirms

3 KPI dashboard

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Sales and revenues	$20,682mn	$20,543mn	$17,638mn	+0.7% [~] / +17.3% [↑]	Record quarter
Adjusted operating margin	20.6%	21.9%	17.5%	[~] / +3.1pp [↑]	Up YoY
Adj. margin ex IEEPA refunds	20.0%	20.0%	n.a.	[~] / [?]	Flat QoQ
Adjusted EPS	$7.20	$8.17	$4.95	[↓] / +45% [↑]	2Q had $392mn refund
Power & Energy sales	$8,784mn	$8,238mn	$7,463mn	+6.6% [↑] / +17.7% [↑]	Rising
Power & Energy margin	24.4%	24.6%	21.9%	[~] / +2.5pp [↑]	Plateau
Power Generation sales	$3,421mn	$3,098mn	$2,634mn	+10.4% [↑] / +29.9% [↑]	Rising
Power Gen sales to users	+75%	+72%	+33%	[↑]	Accelerating
Backlog	$78bn	$72.1bn	~$40bn	+8.2% [↑] / +96% [↑]	4th straight rise
Backlog due in 12 months	58%	59%	-	[~]	Lengthening
Book-to-bill, MP&E (derived)	~1.3x	~1.5x	-	[↓]	Slowing
MP&E free cash flow	$3.8bn	$5.1bn	~$3.2bn	[↓] / +19% [↑]	9M $9.5bn
Inventories	$22,214mn	$20,627mn	-	+7.7% [↓]	Building
Customer advances (current)	$5,329mn	$4,777mn	-	+11.6% [↑]	Building
Financial Products debt	$34,551mn	$34,456mn	-	[~]	
Cat Financial allowance	$332mn (0.91%)	$294mn (0.84%)	-	+13% [↓]	Rising
Cat Financial past dues	1.31%	1.31%	1.47%	[~] / [↑]	Low since 1998

Flags: [↑] better, [↓] worse, [~] within ±5% or normal range, [?] unavailable. For cost, debt, inventory and allowance lines, [↓] means worse for shareholders. 2Q26 ex-refund margin and book-to-bill are derived. 3Q25 backlog = $78bn less 'approximately $38bn' (call).

4 Guidance analysis

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
FY26 sales	Up mid-to-high teens	Maintained	Yahoo FY $79.6bn (+17.8%) inside	Strong sales to users, backlog, capacity 'on schedule'	Raso: implies 4Q barely up QoQ
4Q26 sales	Moderate growth YoY	New	Below Yahoo 4Q $21.42bn (+12%)	Tough comp; capacity-paced; CI destock $1.6bn (~$1bn YoY headwind)	Expect 4Q estimate cuts
FY26 adj. margin ex refunds	Near bottom of target range	Maintained	n.a.	Strategic investment, tariffs, freight	Cook: midpoint in 'next couple of years'
4Q P&E margin	Similar to 3Q (24.4%)	New	n.a.	Price and volume vs capacity depreciation, freight	Plateau, not expansion
FY26 MP&E FCF	Top half of $6-15bn	Maintained	n.a.	9M $9.5bn; 4Q needs about $1.0bn for $10.5bn	Low bar
Tariffs	~$2.2bn FY; ~$600mn 4Q	Maintained	n.a.	Excludes ~$520mn YTD refunds; none assumed in 4Q	-
Restructuring	~$300mn	Lowered to low end of $300-350mn	n.a.	-	-
10 MW engine restart	First units 4Q26	Maintained	n.a.	'On track', ramps through 2027	-
FY27	Deferred to January	-	Yahoo $88.67bn / $32.59	Capacity rises each quarter, 'not a cliff'	Feniger: above 6-9% CAGR?

Underlying economic performance: steady. Volume and price grew, but capacity costs absorbed most of the price in Power & Energy, so earnings power per dollar of sales did not improve this quarter.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observations	Investment implication
Manufacturing capacity	Tight	Improving slowly	'No slack'; Winston-Salem, Wamego, 10 MW restart; engines to ~3x 2024 by 2030	Revenue capped by output, not demand
Product breadth (recips plus turbines)	Strong	Stable	Can string turbines and recips behind the meter; capacity 'pretty fungible'	Wins mixed-architecture prime power
Customer lock-in	Strong	Strengthening	Frame agreements beyond backlog; orders to 2029-30; services tail after 2030	Long visibility; lumpy bookings
Pricing power	Good	Stable	P&E price $216mn (2.9% of 3Q25 sales) but offset by costs; escalators on far orders	Price protects, does not expand, margin
Dealer and rental network	Strong	Strengthening	Major Projects JV; rental fleet loading	Faster routes to small buyers

→ 5-10 year view: Caterpillar's position in on-site power is durable because it sells both engines and turbines through dealers and earns services for decades. The risk is cyclical, not competitive: capacity added through 2029 meets demand that management itself calls lumpy.

6 Major risks and changes

Risk	Prior	Current	Direction	Implication
Estimate risk 4Q26 and 2027	Low	Medium	Up	4Q consensus above guide; stock -7.6% on an in-line print
Capacity and production ramp	Medium	Medium	Up	'No slack'; brief test outage; mining truck ramp
Margin quality (tariffs, freight)	Medium	Medium	Flat	Ex-refund margin flat at ~20%; bottom of band
Data center demand and permitting	Medium	Medium	Flat	No deferrals; hyperscaler share not disclosed
Cat Financial credit	Low	Low	Up slightly	Allowance +$38mn vs $28mn write-offs; vendor financing on AIP

Concern → Response → Evidence

Concern	Management response	Evidence
Book-to-bill is slowing	Production is rising and prime orders arrive in large, lumpy blocks	Derived 1.30x vs ~1.5x in 2Q and ~1.7x earlier; backlog still +$5.9bn
Data center counterparties and permits	No significant changes in project timing; Caterpillar can move slots between customers	No disclosure of hyperscaler share; Revich's question left unquantified
Margin should rise with volume	Investing for growth; midpoint over 'next couple of years'	Ex-refund margin flat QoQ; P&E 24.4% vs 24.6%

7 Capital, funding and per-share impact

Item	3Q26	2Q26	9M26	9M25
MP&E operating cash flow	$4,523mn	n.a.	$11,534mn	$7,745mn
MP&E capex (incl. leased equipment)	~$700mn	n.a.	$2,009mn	$1,944mn
MP&E free cash flow	$3.8bn	$5.1bn	$9.5bn	-
Customer advances (cash flow)	+$1,426mn	n.a.	+$4,002mn	+$1,649mn
Inventories (cash flow)	-$1,565mn	n.a.	-$4,118mn	-$2,015mn
Financial Products debt	$34,551mn	$34,456mn		

Caterpillar funds its own growth. MP&E free cash flow of $9.5bn in 9M covered capex and most of the $9.9bn returned to shareholders; buybacks slowed to $1.2bn in 3Q after $6.5bn in H1. Customers are funding part of the build: customer advances added $4.0bn of cash in 9M, against $1.6bn a year earlier. Cat Financial is match-funded and its debt barely moved. No dated bond price or rating action was found today, so no spread is quoted. The next dollar for capacity comes from operating cash and customer deposits, not debt.

→ Per share: diluted shares fell 2.1% YoY to 460.9mn, adding about $0.15 to adjusted EPS (call).

8 Monitoring checklist

Five signals

1. Backlog and book-to-bill in 4Q (bar: backlog above $78bn; book-to-bill above 1.0x).
2. FY27 guide in January: sales growth vs the 6-9% CAGR target, margin off the bottom of the band.
3. Power & Energy margin above 24.6% once capacity depreciation is in the base.
4. Customer advances vs inventories: deposits still outrunning inventory build.
5. Cat Financial allowance and any disclosure of data center developer lending.

Key risks building. Estimate cuts for 4Q; capacity costs absorbing price; Cat Financial allowance rising while past dues are flat.

Confirmation signals. Backlog keeps growing while 58% or more converts within 12 months; 10 MW units ship in 4Q; FY27 margin guide above FY26.

Conviction tripwires. Backlog falls QoQ in P&E; a named data center deferral or cancellation; P&E margin below 22%; vendor financing losses.

Questions for owners (which were asked on the call, and how they were answered)

1. $78bn of backlog plus frame agreements, but no P&E or data center split: what share of P&E backlog has non-refundable deposits or cancellation fees? (Revich asked in part; deflected.) *Why it matters: Firm demand vs options is the bear case.*
2. P&E earned $216mn of price but margin was flat QoQ at 24.4%: what incremental margin on 2027 capacity, and when does depreciation stop outrunning price? (Cook; deferred to January.) *Why it matters: Structural margin or volume over a rising cost base.*
3. Credit: Cat Financial's allowance rose $38mn to $332mn against $28mn of write-offs and flat past dues. How much is lent or committed to data center developers, including AIP's 2 GW? (Not asked.) *Why it matters: Moves data center risk into a leveraged finance arm.*
4. Credit: advances added $1.4bn and inventories $1.6bn in 3Q. On a cancellation, how much of the advance is kept and how much inventory is project-specific? (Not asked.) *Why it matters: Deposits fund the build today and unwind if projects slip.*
5. Buybacks fell to $1.2bn in 3Q from $6.5bn in H1 while Sanford adds $1bn: what is 2027 capex, and which gives way if orders fall 30%? (Not asked.) *Why it matters: Cash return at the peak vs capex commitments.*
6. With 'no slack' and a 3Q brief test outage, how many MW of large engines and turbines will ship per quarter in 2027? (Raso, Feniger; deferred.) *Why it matters: Revenue is output-bound; consensus needs a number.*

Read-across for Kona. Caterpillar now books large gas prime engines into 2029 and turbines into 2030, but smaller gensets have much shorter lead times, some diesel slots are still open in 2028, and management says capacity is fungible across uses. At tens of MW, Kona should design around smaller units sourced through dealers and rental fleets rather than queue for large engines, and budget for deposits: Caterpillar's customer advances rose $1.4bn in the quarter. OEM vendor financing remains a precedent to ask for, but Cat Financial's allowance rose 13% in the quarter, so Kona should not plan on it.